

Pre-Feasibility Study for Establishing a Mall in Mafrq



2017



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1. Executive Summary

The idea of the project is to establish a Mall that includes (shops, entertainment places, restaurants, gym, residential units, a medical center, car wash, and a nursery). Malls play an important and active role in marketing the products of companies and importers, and meeting most of the consumers' needs for goods and services in one place. In addition, the prices in these centers are often cheaper than they are in other places, and since Ma'an lacks these kinds of projects, it will be a good opportunity to enhance its environment and positively impact residents of the governorate.

According to the suggested market share and prices, the expected revenues will equal JD 44,709,129 in 10 years, and the payback period equals to 6 years, with an IRR of 19.91%.

The table below shows the project's economic indicators:

Table1 : Economic Indicators

Indicator	Amount
Total Investment Requirement (JD)	4,649,395
Internal Rate of Return (IRR)	%19.91
Pay-Back Period (year)	6
Net present value (JD)	2,835,655
Job Opportunities provided by the project	57
Annual Revenue Projections (10 years)	44,709,129
Total Operating Expenses (10 years)	30,553,561
Net Profit (10 years)	5,053,047

2. Key Highlight of Jordan

Jordan Hashemite Kingdom area is 89342 Kilometers with a population exceed 9.8 Millions distributed among 12 Governorates.

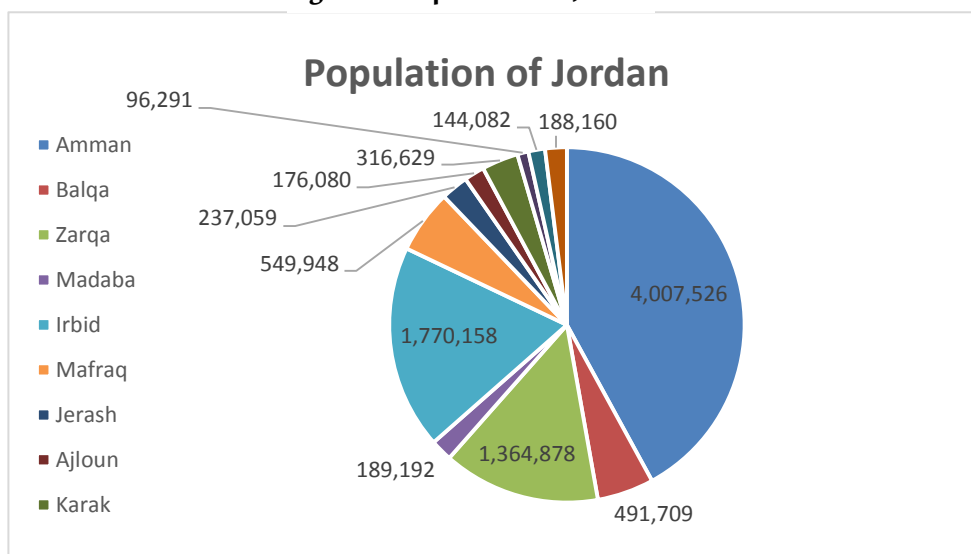
Jordan is bounded by Saudi Arabia, Iraq, Syria and Palestine from the South, East, North and west respectively. Jordan climate is mostly arid desert with rainy season between November to April Months.

Jordan is a free market economy, ranked as the fifth freest economy in the MENA region in the Index of Economic Freedom. Its free market economy enjoys strong partnerships amongst its neighboring country as well as Europe and the USA. Jordan is a signatory of several bilateral and multilateral trade agreements such as (Free Trade Agreement with the US and the EU, a Free Trade Agreement with the EFTA states, an FTA with Singapore, A member of the Greater Arab Free Trade Agreement (GAFTA) and a signatory of the Aghadir Agreement. Looking at the range of countries these agreements cover and facilitate trade between, one is confident to say that Jordan has business gateways and partnerships across the globe.

Population Overview

Based on the latest surveys done by Department of Statistics (DOS) in 2017, total number of population has reached around 9.814.995 with an increase rate of 2.88% from 2016 year, figure below summarizes the population distribution among the kingdom governorates.

Figure 1 :Population of Jordan



Department of Statistics (DOS), 2015

Moreover, and based on the latest survey conducted by (DOS) which related to population nationality distribution over the governorates, it was found that total Non-Jordanian residents constitutes around 30% of the total population. Half of these are Syrians (1.3 Million) concentrated mainly in Amman Capital (436 Thousand) then Irbid (343 Thousand), Mafraq at 208 Thousand and Zarqa at 175 Thousand.

Jordan prides itself in its youthful population with 35% of ages below 15 years old and only 4% with ages above 65 years old. Table below summarizes population distribution of Jordanians according to Age Group:

Table2 Population Distribution according to Age Group:

Age Group	Population %	Males	Females
0-14 Years	%35.04	%19.2	%18.2
15-64 Years	%61.02	%30.7	%28.6
More than 65 Years	%3.94	%1.6	%1.6

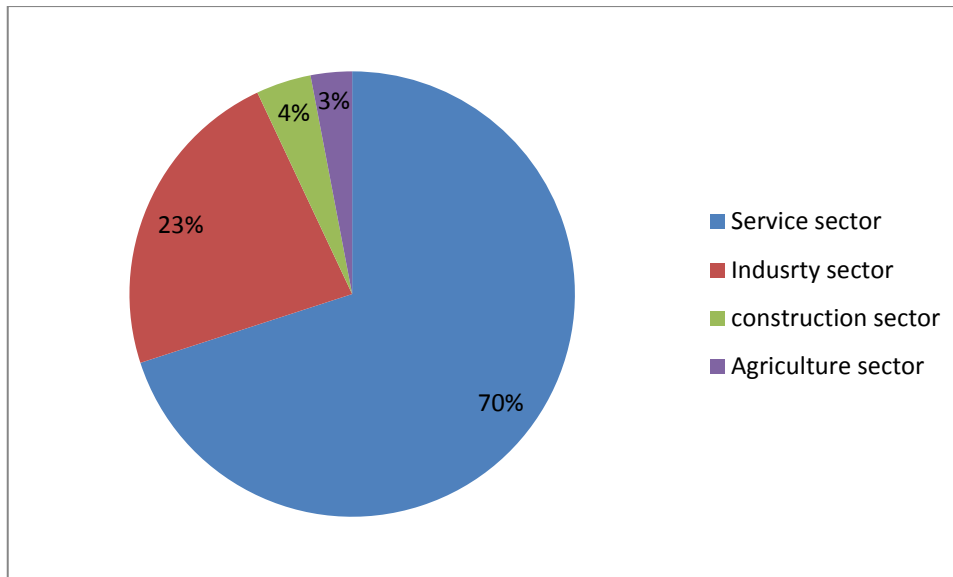
Department of Statistics (DOS), 2015.

Overview of Jordan Economy

Classified as an upper middle economy by the World Bank and as a country of High Human Development by the UNDP, Jordan is an important financial power in the Middle East. Its small market witnessed growth in the last two decades since King Abdullah II accessed the throne. Jordan's GNI per capita has increased in the last four years due to the basket of economic reforms that were enacted in the recent decade such as (the new Income Tax Law, Public Private Partnership Law and Investment Law). These laws aim to encourage the participation of the private sector in the Kingdom's economic development and provide an enabling legislative environment for current and new investment opportunities.

The Jordanian economy is overwhelmingly services oriented and its contribution in the GDP is 68.1%. The contribution of the industrial sector is 22.4%, the construction sector is 4.2% and the agricultural sector is 2.9%. These contributions are aimed to increase to (27.4%), (5.8%) and (3.4%) respectively and that of the service sector is due to decrease according to Jordan 2025 vision.

Figure 2: Sectors Contribution to Jordan's Economy



Jordan's exports include variety of textiles, potassium, phosphates, fertilizers, vegetables and pharmaceutical products. While it's main imports are crude and refined petroleum. Distinguished by its strategic location, on the crossroads between Asia, Africa and Europe with strong connections to the Levant and the GCC, Jordan has a regional market of interest that represents US\$3.8 trillion market and compromising 380 million consumers.

Jordan infrastructure ranks comparatively well (38th out of 148 comparable economies), with an extensive 8000 KM road network connecting Jordan domestically and externally The new Queen Alia International Airport and the Port of Aqaba are the major gateways to the international market. In addition to some mega projects such as the Red- Dead Sea Canal and the national railway network that will be developed to position Jordan as a hub for regional commerce.

Jordan banking system is quite sophisticated, resilient and in compliance with international standards, making it very attractive and trustworthy to investors. This is reflected in the fact that 50% of equity in licensed banks in Jordan is held by non-Jordanians, and non residents' deposits in Jordanian banks witnessed a steady growth of 19.2%.

Moreover, realizing the value of MSMEs to drive economic growth, the government has developed the national Strategy for the encouragement of entrepreneurship and the development of micro small and medium sized enterprises for 2015-2019. This shows the commitment of the Jordan government to enhance the private sector development and leveraging the country's strong human capital.

Jordan prides itself in its youthful population. It's the country most valuable capital. A tech savvy well educated and trained workforce attracts a lot of investors to Jordan. More than 20.4% of Jordan's GDP is dedicated to the education and capacity building for the labor force, this has resulted in securing a 91% literacy rate and enabled Jordanians to be among most hired and qualified middle-eastern workforce.

Such solid, diverse and resilient characteristics of the Jordanian economy and investment scene position Jordan as a competitive investment destination.

Major Economic Indicators

- **GDP Growth**

The Jordanian economy slowed and reached 2.4 percent in 2015 compared to growth rate of 3.1 in 2014 and similar to MENA growth rates.

The growth also slowed for trade, restaurants and hotels; manufacturing; transport; and electricity and water. Meanwhile, finance, insurance, and business services advanced at a faster pace.

- **Inflation rate**

Inflation rate decreased to 0.9 in 2015 after 2% decline in the previous year. Inflation Rate in Jordan averaged 3.1 percent from 2011 until 2015.

- **Unemployment**

The unemployment rate in Jordan was recorded at 13 percent in 2015, comparing to 11.9 percent a year earlier. This increase due to the current instability in the labor market structure as well as high competition from low cost foreign labors especially from Syria.

- **External Sector**

A number of risks manifested in 2015, the closure of land trade routes with Syria and Iraq and the deepening instability in the region adversely impacted many external sector indicators such as trade, tourism and direct Investment.

Moreover, loans disbursements increased by JD 545.3 million, due to the use of the International and Arab Monetary Funds (IMF and AMF) credit facilities. As an outcome of these developments, the overall balance

of the balance of payments registered a surplus of JD 328.7 million in 2015, compared with a surplus of JD 1,550.7 million in 2014.

Further, net international investment position (IIP) witnessed an increase in the Kingdom's net obligations to abroad; to reach JD 24,357.5 million, compared to a net obligation of JD 22,578.8 million at the end of 2014 as a result of the increase in the stock of external financial assets and liabilities of all resident economic sectors to reach JD 18,657.9 million and JD 43,015.5 million; respectively.

External Debt in Jordan increased to 9390.50 JOD Million in 2015 from 8030.10 JOD Million in 2014. External Debt in Jordan averaged 5433.67 JOD Million from 1988 until 2015, reaching an all time high of 9390.50 JOD Million in 2015 and a record low of 3640.20 JOD Million in 2008.

Investment Climate in Jordan

Investment in Jordan is considered as one of the vital sources to boost the economy considering that Jordan's economy is among the smallest in the Middle East, with insufficient supplies of water, oil, and other natural resources, underlying the government's heavy reliance on foreign assistance.

The country's location, supported by myriad free trade agreements (FTAs) offering access to 1.5bn consumers, enables the kingdom to be a strategic trade route to many of its neighboring countries and regions.

Jordan aspires to create a competitive investment destination capitalizing on its many advantages mentioned above. The government focused its efforts to implement significant advances in structural and legal reform. These efforts are represented in the new Investment Law of 2014, the tax law, in addition to other endeavors related to providing greater access to credit for MSMEs, and by providing greater investment incentives to specific priority sectors identified by the new Investment law and the Jordan 2025 vision.

Furthermore, in its endeavor to enhance the business environment, several geographically industrial states were created across the kingdom. These range in type to include (industrial estates, free zones and special economic zones). Under the new Investment Law, these zones are given a number of incentives that include a tax rate of 0% on exports, sales tax, import duties, social service tax, dividends tax and a 5% income tax from all economic and manufacturing activities undertaken in the development zones. As for the investments in Free Zones, they enjoy Exemptions from customs duties, income tax exemptions and exemptions from land and building taxes among others. Both development and free zones also enjoy facilitations regarding visa and residency permits for investors and workers in addition to Repatriation of capital and profits in a convertible currency. Such estates have succeeded in attracting relatively large amounts of FDI to Jordan.

Key National Investment Priorities:

Jordan Investment commission worked on taking a leading role in the application of government policies to promote and attract domestic and foreign investments and create an investment environment that stimulates economic performance through investment promotion strategy launched in 2016

Jordan investment commission aims to:

- Regulating the special provisions governing Development Zones and Free Zones in the Kingdom and developing them placing them in service of the national economy as well as monitoring their functioning.
- Developing plan and programs to stimulate domestic and foreign investments.
- Establishing trade centers and organizing exhibitions as well as opening markets and organizing trade missions in order to promote national products, in addition to marketing and development of national exports and encouraging investment.
- Taking appropriate decisions related to private or public institutions to improve Investors' confidence in Jordan's investment environment.

3. Market Analysis

Project description

The project is to build a mall in Mafraq governorate that consists of four floors and two basements.

The first floor will house a wholesale food supplies market, while the other three floors consist of shops for rent. The fourth floor is the food court that consists of 10 mini restaurants. Each restaurant will be designated 50 m² while the remaining space will be a shared tables area. each floor will be 1000 m² and will have an average of 15 shops. The first basement floor is a warehouse equipped with shelves, refrigerators and forklifts for transferring goods. The second basement floor is a parking.

The project will be established on a 2000 m² piece of land west of Mafraq and will include the 4-story mall, the warehouse and the parking.

Mall – Mafraq Governorate

Project objectives

The project objectives are:

- Serving Mafraq's residents by raising the level of provided service, meeting their needs, and helping revive business in the County.
- Meet the need for a high-quality mall that provides products at competitive prices. Food supplies will be sold at wholesale prices and , other products will be sold at preferential prices, and economies of scale will be applied.
- Providing job opportunities.
- Providing investment opportunities as shops will be offered for rent inside the mall.
- Profitable returns for the project owners.

Proposed service

Creating a high quality mall that provides low priced products and grocery, as well rental spaces, to promote business opportunities for the governorates' residents.

Target Segments

Mafraq residents and visitors.

Market analysis

Marfaq Governorate has a population of 549,948, and there are several stores that serve the governorate. However, the large size of Mafraq and the continued increase in population, leads to a shortage of supplies sometimes. The following table shows the average annual individual consumption of Mafraq Governorate for some types of food supplies:

Table3 : average annual individual consumption of Mafraq Governorate

Food supplies	Unit	Amount (JD)
Wheat (grains)	Kg	0.44

Mall – Mafraq Governorate

Food supplies	Unit	Amount (JD)
Rice, normal grain	Kg	29.36
Rice, long grain	Kg	4.14
White flour	Kg	3.82
Local wheat flour	Kg	0.67
Borghol (ground wheat)	Kg	1.14
Freikh (ground wheate)	Kg	1.12
Starch	Kg	0.07
Macaroni/ noodles	Kg	1.23
Fresh milk (pasteurized)	Kg	0.13
Fresh milk (regular)	Kg	2.17
Powder milk	Kg	2.4
Non skimmed yogurt	Kg	3.16
Canned fish (tuna)	Kg	0.30
Canned fish (sardines)	Kg	0.24
Fresh fish	Kg	0.17
Frozen fish	Kg	1.78
Local beef meat	Kg	0.89
Imported beef meat	Kg	0.55
Local lamb meat	Kg	3.33
Imported lamb meat	Kg	0.29
Frozen chicken	Kg	16.86
Live chicken	Kg	24.51
Chicken of slaughter houses	Kg	4.40
Luncheon meat	Kg	0.58

Departement of statistics

Competitors analysis

researches survey of Mafrq malls, markets, and competitors, shows that there are 4 competitors, with an area ranging from 400 to 2100 square meters and average number of daily visitors ranging in size between 400 to 21,00 square meters. The number of visitors is 50 to 250 visitors in normal days and , 1500 visitors at the end of the month.

Mafrq malls:

Mall – Mafrq Governorate

- Ahmad mall
- Manal mall
- Adel mall
- Arabi mall

Price analysis and pricing policy

Groceries will be sold in wholesale since they can be obtained in large quantities and stored for long periods. However, vegetables, fruits, meat, and chicken cannot be sold at wholesale prices because they could not be obtained in large quantities, but will be sold at preferential prices.

revenue projections analysis

Projected annual revenues for the project

After studying the market size in the governorate and conducting the pricing policy, revenue is expected to be JD(3,900,000) at the end of the first year of the project, which is the total sale and rental income.

The following table shows a summary of the project's annual revenues:

Table 4: Average daily sales of foodstuffs

Department	Daily sales rate (JD)
Meat+ Chicken	3,500
Vegetables Fruits	2,000
Food supplies	5,000

Table 5: revenues reported during the years 2018 – 2027 (JD)

	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Sales revenues	3780000	3893400	4010202	4130508	4254423	4382056	4513518	4648923	4788391	4932043
Space rental revenues	120000	123600	127308	131127	135061	139113	143286	147585	152012	156573
Total revenues	3900000	4017000	4137510	4261635	4389484	4521169	4656804	4796508	4940403	5088615

4. Technical analysis

The technical feasibility study aims to determine the technical specifications of the project, depending on the results of the marketing study, in addition to an analysis of the most important investments and operational expenses.

The study includes a general description of the project and its components in addition to construction costs and operational expenses, as well as the general specifications upon which the costs were determined by the technical team.

Human resources requirements

The following figure shows the organizational structure of the project:

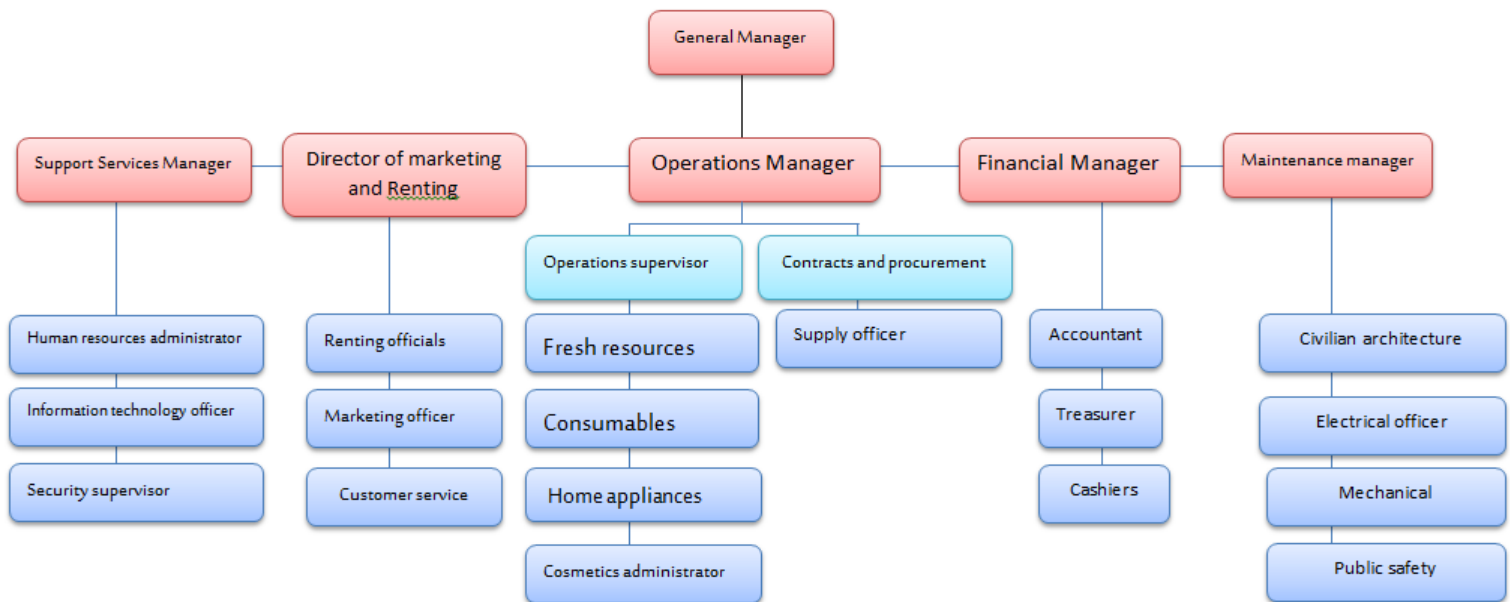


Table 6: required human resources

Job title	
General Manager	1
Financial Manager	1
Accountants	3
Operations Manager	1
Operations supervisor	1
Procurement Manager	1
Marketing Officer	3
Maintenance Manager	1
Maintenance officer/civil works	1
Maintenance officer /mechanical work	1
Maintenance officer/electricity	1
Human resources	2
Information technology officer	1
Security Manager	1
Security staff	5
Cashiers	5
Janitors	10
Total direct salaries	39
Sales administrator	4
Fresh materials administrator	2
Consumables administrator	2
Cosmetics administrator	2
Home appliances administrator	2
Renting officer	2
Customer service	2
Driver	2
Total direct salaries	18
Total salaries	57

Site analysis

Suggested locations:

- South of Mafraq : 20th Street towards Shweikeh. Investments have been targeting the south region lately.
- West of Mafraq: Hospital Road.
- Eidon circle (private lands).

Preferably avoid:

- The governorate center and the extension of Al Albayt University as all lands are owned by the Army.
- North and East regions as they suffer from organizational problems as a result of traffic.

Technical requirements analysis

Land and construction works

The project will be built on an area of 2000 m². The following table shows the land required:

Table 7: The land required for the project

Land	Area (m ²)
Required land	2,000

Source: average price in Mafraq Governorate

Construction required for the project is as follows:

Table 8: Construction work

Construction work	Area (m ²)
Building & finishing work	6,000
The building designs and schemes	6,000
Excavation work	1,000
Earth construction	1,000
Soil test	200

Machinery and equipment

The following table shows the machinery and equipment needed for the project as follows:

Table 9 required machinery and equipment

Machinery and equipment	Quantity
Display refrigerators	10
Stores system and sale points	1
Display shelves	50
Central air conditioner	1
Managing computers	40

Furniture and furnishings

Such a project requires whole office furniture

Vehicles and transportation

The following table shows the list of vehicles and transportation required for the project:

Table 10: Required vehicles and transportation

Vehicles and transportation	Quantity
Pick-up	2

5. Financial Analysis

The Financial Part illustrates all the assumptions which were used when we have developed the study including project expenses related to capital expenditures, operating expenses (Fixed and Variable costs) followed by illustrating project revenues.

Assumptions

Calculation Assumptions:

- The weighted average cost of capital used in the study is 11.20% as it was calculated considering risk free and debt Interest rates as well as Market risk premiums to consider alternative opportunity costs for investor.
- Income tax on the net project income is 5 % during the life time of the project.
- Project working capital has been estimated and added to project cash outflows at the beginning of the project and annual increase in working capital has been also estimated and added to the operating expenses then net working capital has been added to total cash inflows at the end of project lifetime.

The time span for the financial study is 10 years starting from 2018, where annual increase rates have been estimated as per the tables below:

Assumptions

Table 11 General Assumptions

General Information	
All Financial Numbers (Currency)	Jordan Dinars
Financial Study Time Span (Years)	10
Expected Project First Operating Year	2018
Last Year in the Financial Study	2027

Table 12 Currency Exchange Rates

Exchange Rates	Jordan Dinars
American Dollar	0.708
Euro	0.760

Table 13: Working Time Assumption

Working time	
No. of weeks	52
No. of days per week	7
No. of days annually	360
No. of working hours	8

Table 14 Annual Growth Rates Assumptions

Annual Growth Rates	Average
Annual Population Growth Rate	2.20%
Annual Sales Price Increase Rate	3.00%
Annual Expenses Increase Rate	3.00%
Annual Increase Rate in Employees Salaries	4.1%

(1) and (2) Source: Inflation Rates, Central Bank of Jordan

(3) Source: Social Security

Table 15 Expenses Assumptions

Expenses Assumptions	
Cost of poultry and meat from total revenue	50.00%
Cost of vegetables from the total revenues	40.00%
Cost of food supplies from total revenues	60.00%
Service benefit expenses from total revenues	5.00%
Maintenance Expenses from Total Revenues	2.50%
Depreciation Expenses from Total Revenues	1.00%
Insurance expenses from assets	0.75%
Marketing Expenses from Total Revenues	1.00%

Table 16 Income Tax Assumptions

Income Tax Assumptions	Value
(1) Average Income Tax in Jordan	20%
(2) Income Tax Deduction	0%
Income Tax after Deduction	20%
(3) Compulsory Reserve Percentage	10%
Other Assumptions	Value
(1) Annual Monthly Salaries have been calculated after multiplying monthly salaries by:	16

Table 17 Risk Premium

Risk Premium	
(1) Risk Free Rate of Return	6.50%
(2) Return to Debt Maturity	9.48%
(3) Market Risk Premium	10.12%
Income Tax Rate	20.00%
(4) Beta	1
Growth Rate	4.00%

(1) Source :Damodaran's Country Default Spreads and Risk Premiums Report

(2) Source :Central Bank of Jordan

(3) Source :Damodaran's Country Default Spreads and Risk Premiums Report

(4) Source :Damodoran Beta By Sector, , pages.stern.nyu.edu

Table 18 Weighted Average Cost of Capital

Weighted Average Cost of Capital	
Average Return on Risk Free Investment	6.50%
Return to Debt Maturity	9.48%
Market Risk Premium	10.12%
Income Tax Rate	20%
Bets	1.00
Equity	1,859,758
Loans Value	2,789,637
Loans	
Cost of Borrowing before Tax	9.48%
Cost of Borrowing After Tax	7.58%
Loans Value	2,789,637
Loans Percentage	60%
Equity	
Cost of Equity	16.6%
Equity Value	1,859,758
Equity Percentage	40%
Gross	
Project Value	4,649,395
Weighted Average Cost of Capital	11.20%

Capital Expenditures

The estimated cost of the project is 4,649,395 JD and it covers land costs, construction works, machinery and equipment, furniture, pre-operating expenses and working capital. The following tables summarize the details of these expenses:

Table 19 Land Capital Expenditure

Land	(Jordan Dinar/Meters Square) Cost	Area (M2)	Cost(JD)
Required Land	350	2,000	700,000
Total Cost			700,000

Table 20 Construction Work Capital Expenditure

Description	Cost (JOD per Squared Meters)	Area (Squared Meters)	/ Gross Cost Jordan Dinar
Building & finishing work	370	6,000	2,220,000
The building designs and schemes	7	6,000	42,000
Excavation work	5	1,000	5,000
Earth construction	12	1,000	12,000
Soil test	200	-	200
Other works	-	-	227,920
Total cost			2,507,120

Table 21 Machinery and equipment Capital Expenditure

Machinery and equipment	Number	Unit cost (JD)	Total cost (JD)
Display refrigerators	10	10,000	100,000
Stores system and sale points	1	15,000	15,000
Display shelves	50	250	12,500
Central air conditioner	1	25,000	25,000
Managment computers	40	400	16,000
Total (JD)			168,500

Table 22 Furniture Capital Expenditure

Furniture	Number	Unit cost (JD)	Total cost (JD)
Office furniture	-	-	18,000
Total			18,000

Table 23 Transportation and Vehicles Capex

Transportation and Vehicles	No	Unit Cost/JOD	Total Cost/JOD
Medium vehicle	2	23,400	46,800
Total cost			46,800

Mall – Mafraq Governorate

Table 24 Pre-Operating Expenses

Pre-operating expenses	Estimated cost (JD)
Governmental fees	1,000
Transportation	3,500
Marketing	3,500
Training	2,500
Total cost	10,500

The initial working capital reflects the project's amounts needed to cover all the expenses during operation until the project starts generating income, the following table shows the components of the initial working capital:

Table 25 Working Capital

Working Capital	No. of Months	%	Estimated Cost (JD)
Operating expenses	3	%25	664,373
General and administrative expenses	3	%25	10,280
Marketing expenses	3	%25	9,750
Indirect Salaries	3	%25	91,400
Total			775,803

Table 26 Expenses Summary

Capital expenditure summary	Cost (JD)	Contingency	Cost (JD)	%
Land	700,000	10%	770,000	%16.6
Construction works	2,507,120	10%	2,757,832	%59.3
Machinery & Equipment	168,500	10%	185,350	%4.0
Furniture	18,000	10%	19,800	%0.4
Vehicles	46,800	10%	51,480	%1.1
Pre-Operating Expenses	10,500	10%	11,550	%0.2
Working capital	775,803	10%	853,383	%18.4
Total (JD)	4,226,723		4,649,395	100%

Sources of Funding

The financing structure of the project consists of loans and Equity. The investment cost of this project is estimated at (4,469,395) JD, where 60% of the project will be financed through loans (2,789,637) JD, and the remaining (40%) through (Equity) with (1,859,758) JD. The following table summarizes the general structure of the required financing:

Table 27 Sources of Funding

Funding Sources	Amount	Percentage
Equity	1,859,758	%40
Loans	2,789,637	%60
Total	4,649,395	%100
Use of Fund	Amount	Percentage
Capital Expenditures	3,784,462	%81.40
Pre-Operating Expenses	11,550	%0.25
Working Capital	853,383	%18.35
Total	4,649,395	%100.00

Operating Expenses

The following table summarizes the expected operating expenses for the proposed project (2018-2027):

Table 28 Operating Expenses

Description	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Raw Materials and packing from	1,950,000	2,008,500	2,068,755	2,130,818	2,194,742	2,260,584	2,328,402	2,398,254	2,470,202	2,544,308
Service benefit expenses from revenues	195,000	200,850	206,876	213,082	219,474	226,058	232,840	239,825	247,020	254,431
Maintenance from Revenues	97,500	100,425	103,438	106,541	109,737	113,029	116,420	119,913	123,510	127,215
Disposables from Revenues	39,000	40,170	41,375	42,616	43,895	45,212	46,568	47,965	49,404	50,886
Direct Salaries	134,400	139,910	145,647	151,618	157,835	164,306	171,042	178,055	185,355	192,955
Others	241,590	248,986	256,609	264,467	272,568	280,919	289,527	298,401	307,549	316,979
Total	2,657,49	2,738,84	2,822,69	2,909,14	2,998,25	3,090,10	3,184,80	3,282,41	3,383,04	3,486,77

General and Administrative Expenses

The following table summarizes the expected general and administrative expenses for the proposed project (2018-2027):

Table 29 General and Administrative Expenses

Description	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Telecom	3,600	3,708	3,819	3,934	4,052	4,173	4,299	4,428	4,560	4,697
Hospitality	1,200	1,236	1,273	1,311	1,351	1,391	1,433	1,476	1,520	1,566
Stationary and Printing	1,200	1,236	1,273	1,311	1,351	1,391	1,433	1,476	1,520	1,566
Transportation	1,800	1,854	1,910	1,967	2,026	2,087	2,149	2,214	2,280	2,349
Training	1,200	1,236	1,273	1,311	1,351	1,391	1,433	1,476	1,520	1,566
Insurance	28,383	29,235	30,112	31,015	31,946	32,904	33,891	34,908	35,955	37,034
Miscellaneous	3,738	3,850	3,966	4,085	4,208	4,334	4,464	4,598	4,736	4,878
Total	41,122	42,355	43,626	44,935	46,283	47,671	49,102	50,575	52,092	53,655

Marketing Expenses

Table 30 Marketing Expenses

Description	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Marketing Expenses	39,000	40,170	41,375	42,616	43,895	45,212	46,568	47,965	49,404	50,886

Human Resources

The total annual salaries and monthly wages has been estimated on 16 months for the purpose of considering annual increments on salaries as well as payments related to social security and health insurance, etc.

The following table summarizes the expected annual salaries and wages, considering annual increment on salaries as per the income statement:

Table 31 expected number of employees

[illegible]

Job title	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Cashiers	5	5	5	5	5	5	5	5	5	5
Janitors	10	10	10	10	10	10	10	10	10	10
Total number of indirect employees	39	39	39	39	39	39	39	39	39	39
direct employees										
Sales administrator	4	4	4	4	4	4	4	4	4	4
Fresh materials administrator	2	2	2	2	2	2	2	2	2	2
Consumables administrator	2	2	2	2	2	2	2	2	2	2
Cosmetics administrator	2	2	2	2	2	2	2	2	2	2
Home appliances administrator	2	2	2	2	2	2	2	2	2	2
Renting officer	2	2	2	2	2	2	2	2	2	2
Customer service	2	2	2	2	2	2	2	2	2	2
Driver	2	2	2	2	2	2	2	2	2	2
Total number of direct employees	18	18	18	18	18	18	18	18	18	18
Grand total	57	57	57	57	57	57	57	57	57	57

Table 32 Expected monthly Salaries and Wages (2018-2027)

Job title	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Indirect employees										
General Manager	3,000	3,123	3,251	3,384	3,523	3,668	3,818	3,974	4,137	4,307
Financial Manager	2,000	2,082	2,167	2,256	2,349	2,445	2,545	2,650	2,758	2,871
Accountants	500	521	542	564	587	611	636	662	690	718

Job title	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Operations Manager	1,500	1,562	1,626	1,692	1,762	1,834	1,909	1,987	2,069	2,154
Operations supervisor	1,000	1,041	1,084	1,128	1,174	1,223	1,273	1,325	1,379	1,436
Procurement Manager	1,250	1,301	1,355	1,410	1,468	1,528	1,591	1,656	1,724	1,795
Marketing Officer	500	521	542	564	587	611	636	662	690	718
Maintenance Manager	1,000	1,041	1,084	1,128	1,174	1,223	1,273	1,325	1,379	1,436
Maintenance officer/civil works	400	416	433	451	470	489	509	530	552	574
Maintenance officer /mechanical work	400	416	433	451	470	489	509	530	552	574
Maintenance officer/electricity	400	416	433	451	470	489	509	530	552	574
Human resources	450	468	488	508	528	550	573	596	621	646
Information technology officer	500	521	542	564	587	611	636	662	690	718
Security Manager	1,000	1,041	1,084	1,128	1,174	1,223	1,273	1,325	1,379	1,436
Security staff	400	416	433	451	470	489	509	530	552	574
Cashiers	400	416	433	451	470	489	509	530	552	574
Janitors	250	260	271	282	294	306	318	331	345	359
direct employees										
Sales administrator	700	729	759	790	822	856	891	927	965	1,005
Fresh materials administrator	400	416	433	451	470	489	509	530	552	574
Consumables administrator	400	416	433	451	470	489	509	530	552	574
Cosmetics administrator	400	416	433	451	470	489	509	530	552	574
Home appliances administrator	400	416	433	451	470	489	509	530	552	574
Renting officer	400	416	433	451	470	489	509	530	552	574
Customer service	400	416	433	451	470	489	509	530	552	574

Job title	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Driver	400	416	433	451	470	489	509	530	552	574

Table 33 Expected Annual Salaries and Wages (2018-2027)

Job title	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Indirect employees										
General Manager	48,000	49,968	52,017	54,149	56,369	58,681	61,087	63,591	66,198	68,912
Financial Manager	32,000	33,312	34,678	36,100	37,580	39,120	40,724	42,394	44,132	45,942
Accountants	24,000	24,984	26,008	27,075	28,185	29,340	30,543	31,796	33,099	34,456
Operations Manager	24,000	24,984	26,008	27,075	28,185	29,340	30,543	31,796	33,099	34,456
Operations supervisor	16,000	16,656	17,339	18,050	18,790	19,560	20,362	21,197	22,066	22,971
Procurement Manager	20,000	20,820	21,674	22,562	23,487	24,450	25,453	26,496	27,583	28,714
Marketing Officer	24,000	24,984	26,008	27,075	28,185	29,340	30,543	31,796	33,099	34,456
Maintenance Manager	16,000	16,656	17,339	18,050	18,790	19,560	20,362	21,197	22,066	22,971
Maintenance officer/civil works	6,400	6,662	6,936	7,220	7,516	7,824	8,145	8,479	8,826	9,188
Maintenance officer /mechanical work	6,400	6,662	6,936	7,220	7,516	7,824	8,145	8,479	8,826	9,188
Maintenance officer/electricity	6,400	6,662	6,936	7,220	7,516	7,824	8,145	8,479	8,826	9,188
Human resources	14,400	14,990	15,605	16,245	16,911	17,604	18,326	19,077	19,860	20,674
Information technology officer	8,000	8,328	8,669	9,025	9,395	9,780	10,181	10,599	11,033	11,485
Security Manager	16,000	16,656	17,339	18,050	18,790	19,560	20,362	21,197	22,066	22,971

Job title	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Security staff	32,000	33,312	34,678	36,100	37,580	39,120	40,724	42,394	44,132	45,942
Cashiers	32,000	33,312	34,678	36,100	37,580	39,120	40,724	42,394	44,132	45,942
Janitors	40,000	41,640	43,347	45,124	46,975	48,901	50,905	52,993	55,165	57,427
Total indirect salaries	365,600	380,590	396,194	412,438	429,348	446,951	465,276	484,352	504,211	524,883
direct employees										
Sales administrator	44,800	46,637	48,549	50,539	52,612	54,769	57,014	59,352	61,785	64,318
Fresh materials administrator	12,800	13,325	13,871	14,440	15,032	15,648	16,290	16,958	17,653	18,377
Consumables administrator	12,800	13,325	13,871	14,440	15,032	15,648	16,290	16,958	17,653	18,377
Cosmetics administrator	12,800	13,325	13,871	14,440	15,032	15,648	16,290	16,958	17,653	18,377
Home appliances administrator	12,800	13,325	13,871	14,440	15,032	15,648	16,290	16,958	17,653	18,377
Renting officer	12,800	13,325	13,871	14,440	15,032	15,648	16,290	16,958	17,653	18,377
Customer service	12,800	13,325	13,871	14,440	15,032	15,648	16,290	16,958	17,653	18,377
Driver	12,800	13,325	13,871	14,440	15,032	15,648	16,290	16,958	17,653	18,377
Total direct salaries	134,400	139,910	145,647	151,618	157,835	164,306	171,042	178,055	185,355	192,955
Total salaries	500,000	520,500	541,841	564,056	587,182	611,257	636,318	662,407	689,566	717,838

Depreciations

The following tables illustrate cost of Capex and Depreciation rates:

Table 34 Capex and Depreciation Expenses

Capex Cost and Annual Depreciation Rates	Cost (JOD)	Depreciation Rate	Annual Additions Percentage
Land	770,000	%0.0	%0.0
Construction Works	2,757,832	%5.0	%0.0
Machineries	185,350	%10.0	%2.0
Furniture	19,800	%10.0	%5.0
Vehicles	51,480	%10.0	%0.0
	3,784,462		

Table 35 Depreciations and Additions on Construction Works

Capex, Annual Additions and depreciations	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Total Fixed Assets	3,784,462	3,789,159	3,793,980	3,798,928	3,804,008	3,809,224	3,814,580	3,820,081	3,825,733	3,831,539
Total Depreciation Expenses	163,555	164,024	164,506	165,001	165,509	166,031	166,566	167,117	167,682	168,262
Total Accumulated Depreciation	163,555	327,579	492,085	657,086	822,596	988,626	1,155,193	1,322,309	1,489,991	1,658,253
Total Additions	0	4,697	4,821	4,948	5,080	5,216	5,356	5,501	5,651	5,806
Total Net Book Values	3,620,907	3,461,580	3,301,894	3,141,841	2,981,412	2,820,597	2,659,387	2,497,772	2,335,742	2,173,285

Loan

The table below summarizes all details related to the loan such as annual instalments and payment methods for the remaining amount of the loan for each year of the project

Table 36 Loan Details

Loan Value		2,789,637			
Annual Interest Rate		9.48%			
Loans Period		5			
Grace Period		0			
Loan Starts at year:		2018			
Annual payment		726,149			
Number of payments		5			
Year	Annual Payment	Interest	Capital	Loan Remaining Value	
2018				2,789,637	
2019	726,149	264,458	461,691	2,327,946	
2020	726,149	220,689	505,460	1,822,486	
2021	726,149	172,772	553,377	1,269,109	
2022	726,149	120,311	605,838	663,271	
2023	726,149	62,878	663,271	0	

Income Statement

Table 37 Income Statement

Description	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Revenues										
Sales Revenues	3,900,000	4,017,000	4,137,510	4,261,635	4,389,484	4,521,169	4,656,804	4,796,508	4,940,403	5,088,615
Gross Operating Revenues	3,900,000	4,017,000	4,137,510	4,261,635	4,389,484	4,521,169	4,656,804	4,796,508	4,940,403	5,088,615
Operating Expenses	-2,657,490	-2,738,841	-2,822,699	-2,909,142	-2,998,251	-3,090,109	-3,184,800	-3,282,414	-3,383,040	-3,486,774
Gross Operating Profit	1,242,510	1,278,159	1,314,811	1,352,493	1,391,233	1,431,060	1,472,004	1,514,095	1,557,363	1,601,841
<i>Gross Profit Percentage</i>	<i>%32</i>	<i>%32</i>	<i>%32</i>	<i>%32</i>	<i>%32</i>	<i>%32</i>	<i>%32</i>	<i>%32</i>	<i>%32</i>	<i>%31</i>
Salaries and Benefits (Indirect	-365,600	-380,590	-396,194	-412,438	-429,348	-446,951	-465,276	-484,352	-504,211	-524,883
General and Administraive	-41,122	-42,355	-43,626	-44,935	-46,283	-47,671	-49,102	-50,575	-52,092	-53,655
Markeing Expenses	-39,000	-40,170	-41,375	-42,616	-43,895	-45,212	-46,568	-47,965	-49,404	-50,886
Pre Operating Expenses	-11,550									
Gross Indirect Expenses	-457,272	-463,115	-481,195	-499,989	-519,525	-539,834	-560,946	-582,892	-605,707	-629,424
Income before Interest,	785,238	815,044	833,616	852,504	871,708	891,226	911,058	931,203	951,656	972,417
Fixed Assets Depreciations	-163,555	-164,024	-164,506	-165,001	-165,509	-166,031	-166,566	-167,117	-167,682	-168,262
Income before Tax and Interests	621,684	651,020	669,110	687,503	706,198	725,195	744,492	764,086	783,975	804,155
Bank Interests	-264,458	-220,689	-172,772	-120,311	-62,878	-0	-0	-0	-0	-0
Income Before Tax	357,226	430,330	496,338	567,191	643,320	725,195	744,492	764,086	783,975	804,155
Income Tax	-71,445	-86,066	-99,268	-113,438	-128,664	-145,039	-148,898	-152,817	-156,795	-160,831

Description	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Net Profit	285,781	344,264	397,070	453,753	514,656	580,156	595,594	611,269	627,180	643,324
Net Profit Percentage	%7	%9	%10	%11	%12	%13	%13	%13	%13	%13
Compulsory Reserves	-28,578	-34,426	-39,707	-45,375	-51,466	-58,016	-59,559	-61,127	-62,718	-64,332
Retained Earnings	257,203	567,041	924,404	1,332,782	1,795,972	2,318,113	2,854,147	3,404,289	3,968,751	4,547,742

Expected Cashflows Statement

The table below summarizes project cashflows statement, where net cash flows are positive during all years as below:

Table 38 Expected Cashflows

Description	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Cash Inflows from Operating Activities										
Net Profit	285,781	344,264	397,070	453,753	514,656	580,156	595,594	611,269	627,180	643,324
Bank Interests	264,458	220,689	172,772	120,311	62,878	0	0	0	0	0
Depreciation	163,555	164,024	164,506	165,001	165,509	166,031	166,566	167,117	167,682	168,262
Total Operating Cashflows before	713,793	728,978	734,348	739,066	743,044	746,187	762,160	778,385	794,861	811,586
Inventory (Increase/Decrease)	-162,500	-4,875	-5,021	-5,172	-5,327	-5,487	-5,651	-5,821	-5,996	-6,176
Accounts Payables (Increase/Decrease)	117,915	3,808	3,934	4,063	4,197	4,336	4,479	4,627	4,780	4,938
Working Capital (Increase/Decrease)	-44,585	-1,067	-1,087	-1,108	-1,130	-1,151	-1,172	-1,194	-1,216	-1,238
Net Cashflows from Operating Activities	669,208	727,911	733,261	737,957	741,914	745,036	760,988	777,191	793,646	810,348
Cashflows from Investments Activities										

Description	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Fixed Assets (Procurement)	-3,784,462	-4,697	-4,821	-4,948	-5,080	-5,216	-5,356	-5,501	-5,651	-5,806
Net Cashflows from Investments	-3,784,462	-4,697	-4,821	-4,948	-5,080	-5,216	-5,356	-5,501	-5,651	-5,806
Cashflows from Financing Activities										
Capital	1,859,758									
Loan Amortization	-461,691	-505,460	-553,377	-605,838	-663,271	0	0	0	0	0
Bank Interest Rate	-264,458	-220,689	-172,772	-120,311	-62,878	-0	-0	-0	-0	-0
Loans	2,789,637	0	0	0	0	0	0	0	0	0
Net Cashflows from Financing Activities	3,923,246	-726,149	-726,149	-726,149	-726,149	0	0	0	0	0
Net (Increase/Decrease) in Cash	807,992	-2,935	2,291	6,860	10,685	739,820	755,631	771,690	787,994	804,542
Cashflows at the Beginning of Period	0	807,992	805,058	807,349	814,209	824,894	1,564,714	2,320,345	3,092,035	3,880,029
Cashflows at the End of Period	807,992	805,058	807,349	814,209	824,894	1,564,714	2,320,345	3,092,035	3,880,029	4,684,572

Expected Balance Sheet

The balance sheet is one of the main statements which the project depends on, as it reflects the financial position of the entity and is usually estimated on the last day of the financial year.

All financial information and analysis of the project shall be the estimated for the years (2018-2027) as shown in the table below:

Table 39 Expected balance sheet

[illegible]

Description	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Statutory Reseve	28,578	63,005	102,712	148,087	199,552	257,568	317,127	378,254	440,972	505,305
Retained Profits	257,203	567,041	924,404	1,332,782	1,795,972	2,318,113	2,854,147	3,404,289	3,968,751	4,547,742
Total Equity	2,145,539	2,489,803	2,886,874	3,340,627	3,855,283	4,435,439	5,031,033	5,642,302	6,269,481	6,912,805
Total Liabilities and Equity	4,591,400	4,434,013	4,281,639	4,133,618	3,989,201	4,573,693	5,173,766	5,789,662	6,421,621	7,069,883

Feasibility Indicators

There are more than one method to calculate the discounted cash flow statement. However, in this study, WACC was used to calculate the discounted cash flows and net investment value. The Company's financing structure is based on equity and loans; therefore, the discounted rate should be adjusted according to WACC based on the following assumptions, the following table illustrates the net expected free cash flow of the project:

Table 40 Free Net Cashflows

Net Cashflows	Before Operating	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027	Final value
Net Free Cashflows	(4,649,395)	680,758	723,214	728,440	733,009	736,834	739,820	755,631	771,690	787,994	804,542	11,623,752
Discount Factor	1.00	0.81	0.73	0.65	0.59	0.53	0.48	0.43	0.38	0.35	0.31	0.31
Net Present Value for Cash Flows	(4,649,395)	550,549	525,983	476,431	431,138	389,743	351,914	323,237	296,863	272,607	250,302	3,616,283

The table below illustrates payback period for the project, as it is one of the indicators which investors care about before taking the investment decision as they need to know when the project will return the invested amount of money. Payback period definition is the total required period so that the project generates a total money equal to the total invested capital expenditure, as investor is always looking to return the full invested amount of money at the earliest possible.

Table 41 Payback Period

Payback Period	Before Operating	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Net Free Cashflows	(4,649,395)	680,758	723,214	728,440	733,009	736,834	739,820	755,631	771,690	787,994	804,542
Project Value	4,649,395	3,968,637	3,245,423	2,516,983	1,783,974	1,047,140	307,319	(448,312)	1,220,002	2,007,996	2,812,539
Payback Period (Year)	6	1	1	1	1	1	1	0	0	0	0

Table 42 Financial Analysis Results

Weighted Average Cost of Capital (WACC)	%11.20
Net Present Value for Cashflows	2,835,655
Payback Period	6
Internal Rate of Return	%19.91

Sensitivity Analysis

Sensitivity analysis is conducted to investigate the effects of changes in significant inputs of the financial analysis. This includes changes in revenues, total investment costs, and operating costs.

Table 43 Sensitivity Analysis

Sensitivity Analysis	Internal Rate of Return	Payback Period	WACC	Sensitivity Analysis
Original Scenario	%19.91	6	11.20%	%19.91
Revenues declined by 10%	%16.95	7	11.20%	%16.95
Operating Expenses Increased by 10%	%13.11	9	11.20%	%13.11

Conclusions and Recommendations

Based on the profitability analysis and considering that project internal rate of return is higher than WACC, it is concluded that the project is feasible as the net present value for the project is positive 2,835,655 Jordan Dinars considering that the project provides 57 Job Opportunities for the governorate residents.